



CA INTER MAY 2026

AUDITING & ETHICS

AUDIT OF BANK

ONE SHOT



CHAPTER 14 - AUDIT OF BANKS

➤ TYPES OF BANKS

Q1. There are different types of banks prevailing in India. Explain giving examples of such banks.

Answer:

Banking sector is backbone of any economy as it is essential for sustainable socio-economic growth & financial stability in economy. It's also crucial as it deals public monies and is highly sensitive to reputational risk.

Trick: (CCD - PSR)

Commercial Banks:	The most widespread banking institutions in India, that provide a number of products and services to general public and other segments of economy. Two of its main functions are: (a) accepting deposits and (b) granting advances.
Regional Rural Banks (RRB)	- The banks that have been set up in rural areas in different states of the country to cater to the basic banking and financial needs of the rural communities. - Examples: Punjab Gramin Bank, Tripura Gramin Bank, Allahabad UP Gramin Bank, Andhra Pradesh Grameen Vikas Bank, etc.
Co-operative Banks	- It functions like Commercial Banks only but are set up on the basis of Cooperative Principles and registered under Cooperative Societies Act of the respective state or the Multistate Cooperative Societies Act & usually cater the needs of agricultural & rural sectors. - Examples: Gujarat State Co-operative Bank Ltd., Chhatisgarh Rajya Sahakari Bank Maryadit, etc
Payments Banks	- A new type of banks which have been recently introduced by RBI. They are allowed to accept restricted deposits, but they cannot issue loans and credit cards. - However, customers can open Current & Savings accounts (CASA) and also avail the facility of ATM cum Debit cards, Internet-banking & Mobile banking. - Examples: Airtel Payments Bank, India Post Payments Bank, Paytm Payments Bank, etc.
Development Banks	- It had been conceptualized to provide funds for infrastructural facilities important for the economic growth of the country. - Examples: Industrial Finance Corporation of India (IFCI), Industrial Development Bank of India (IDBI), Small Industries Development Bank of India (SIDBI), etc.
Small Finance Banks	- It has been set up by RBI to make available basic financial and banking facilities to the unserved and unorganized sectors like small marginal farmers, small & micro business units, etc. - Examples: Equitas Small Finance Bank, AU Small Finance Bank, etc.

➤ RESERVE BANK OF INDIA (RBI) : Regulatory Body

Q2. Functioning of banking in India is regulated by the RBI which acts as the Central Bank of our country. Explain

Answer:

The functioning of banking industry in India is regulated by RBI which acts as the Central Bank of our country.

Responsibility of RBI	- RBI is responsible for development & supervision of the constituents of Indian financial system (which comprises banks and non-banking financial institutions) - determining, in conjunction with the Central Government, the monetary and credit policies keeping in with the need of the hour. regulating the activities of commercial and other bank
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Functions of RBI	Regulator	Currency Related	Banker
(Trick: RRB)	No bank can commence the business of banking or open new branches without obtaining license from RBI. The RBI also has the power to inspect any bank (Regulate the commercial bank)	• issuance of currency; • regulation of currency issue.	• acting as banker to the Govt (central and state governments); and • acting as banker to commercial bank and other types of banks including term-lending institutions.

➤ Banking Operations

Only Branches	• Banking operations are conducted only at branches.
Administrative Offices	While other offices act as controlling authorities or administrative offices: • Lay down policies, systems, and I.C procedures for conduct of business, in compliance with the statutory/ regulatory impositions and in compliance of accepted accounting principles. • These controlling/ administrative offices also stipulate the delegation of powers and fix responsibilities and accountability, and these are involved generally in effective supervision, monitoring and control over the business activities and operations, seeking compliance of the bank's laid down policies/ procedures /controls & deal with deviations.

➤ Some Other Points

Regulatory Framework of Banks	• Banking Regulation Act, 1949. • Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970. • Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980. • State Bank of India Act, 1955. • State Bank of India (Subsidiary Banks) Act 1959. • Regional Rural Banks Act, 1976. • Prevention of Money Laundering Act, 2002. • Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002. • Credit Information Companies Regulation Act, 2005. • Payment and Settlement Systems Act, 2007. • Companies Act, 2013. • Information Technology Act, 2000.
Peculiarities involved in Banking System	Q3. List out any four points which highlight peculiarities involved in banking operations. Answer: • Extensive use of Technology; • Strict vigilance by the banking Regulator, etc. • Huge Volumes and complexity of transactions; • Large range of Products and services offered; • Wide geographical spread of banks' Network;

➤ Types of Bank Audit Reports to be issued (generally):

Q4. Your firm of auditors, SRG & Co., has been appointed as **Statutory Central Auditors** of Reliable Bank. Explain **reporting requirements of the Statutory Central Auditors (SCAs)** in addition to main audit report.

Answer:

Statutory Central Auditors (SCAs) have to furnish the following reports in addition to main audit report:

- Report on adequacy and operating **effectiveness of Internal Controls over Financial Reporting (ICFR)**, if the banks are registered under Companies Act in terms of Sec 143(3)(i), which is normally to be given as an Annexure to the main audit report as per the Guidance Note on Audit of IFC-FR issued by the ICAI.
- Long Form Audit Report. **(LFAR)**
- Report on compliance with **SLR** requirements.
- Report on whether the **treasury operations** of the bank have been conducted in accordance with the **instructions issued by the RBI** from time to time.
- Report on whether the **income recognition, asset classification and provisioning** have been made as per the guidelines issued by the RBI from time to time.
- Report whether **any serious irregularity** noticed in the working of bank which requires immediate attention.
- Report on status of the compliance by the bank with regard to the implementation of **recommendations of the Ghosh Committee relating to frauds and malpractices** and of the recommendations of Jilani Committee on internal control and inspection/credit system.
- Report on instances of adverse **credit-deposit ratio** in the rural areas. [MCQ: **It's Not** → Report on adverse **credit - lending ratio** in the rural areas]

➤ Understanding of Accounting System in Banks

- Drastic change in banking technology → Customer can access **anytime-anywhere-banking on real time**.
- By E-banking connectivity → **monetary transactions** from **inception to finish** have become **expeditious**
- Due to **voluminous** bank transactions → ensure that system of recording/storing data, I.C is robust and safe
- **In this computerized environment, it is compulsory that the auditor** is familiar with all RBI guidelines & System that generate information/do classification/provision & income recognition.
- Auditor shall **not pre-assume that system generated information is correct**.
- Always maintain **professional skepticism & prudence**, if it feels that **manually authenticity of info. & system** to be check, must do it.

(Above is in Brief → To refer Detail concept → Refer "**Additional PDF Booklet**")

➤ Bank Audit Approach

Audit Plan:	An audit plan should be drawn up based on: • The nature and level of operations, • Nature of adverse features, • Level of compliance based on previous reports and • Audit risks based on inadequacy in, or breach of internal controls and the familiarization exercise carried out.
Control Environment: <i>(PCM wala banda control lagaaega .. to Exception to aaega hi n ...)</i>  – Student Specific Code	A bank should have appropriate controls to mitigate (manage) its risks , including. • Physical security and • Contingency planning. • Measurement and reporting of positions, • Reporting and approval of Exceptions, • Effective segregation of duties (SOD) (particularly, • Setting up Limits, • Verification and approval of Transactions, • Reconciliation of positions and results, <u>The following are certain common questions /steps, which have to be kept in mind while undertaking/ performing control activities:</u>

(Kab, kya, kyu, Kisne, kaha, Kese,)	Nature of Questions	Questions to be considered / answered
	Who (Kisne)	- Who performs the control? - Does the above person have requisite knowledge & authority to perform the control?
	What (kya)	What evidence is available to demonstrate /prove that the control is performed?
	When (kab)	- When and with what frequency is the control performed? - Is the frequency enough to prevent, detect and correct ROMM?
	Where (Kaha)	- Where is the evidence of performance of the control retained? - For how long is the evidence retained? - Is the evidence accessible/ available for audit?
	Why (kyu)	- Why is the control being performed? - What type of errors are prevented or detected through the performance of the control?
	How (Kese)	- How is the control performed? - What are the control activities? - Can these activities be bypassed? - Can the bypass, if any, be detected? - How are exceptions / deviations resolved on identification? - What is the time frame for resolving the exceptions / deviations?
Engagement Team Discussions:	Q5. You are auditor of Bank, & hold discussions with engmnt team. List matters which you would discuss at planning stage of an audit to gain better understanding of bank & its environment. or "The engmnt team should hold discussions to gain better understanding of the bank, including internal control, and also to assess the potential for material misstatements of the FS. All these discussions should be appropriately documented for future reference". Explain. <u>Answer:</u> The Engmnt team should hold discussions to gain better understanding of the bank and its environment, including internal control, and also to assess the potential for MMS of FS. All these discussions should be appropriately documented for future reference. This discussion should be done on Susceptibility of the bank's branch FS to MMS, these discussions are ordinarily done at the planning stage of an audit.	
(MCQ: this is done at "planning stage")		
(Trick: Fraud ke related "Response" do".. uss work ko "Delegate" karo .. delegation ko "review" karo)	Advantage of Such Discussion i.e., discussion provides: - Specific emphasis should be provided to the susceptibility of the bank's FS to MMS due to fraud, that enables the engagement team to consider an appropriate response to fraud risks, including those related to engagement risk, pervasive risks, and specific risks. - It further enables audit Engmnt partner to delegate the work to experienced engagement team members, & to determine procedures to be followed when fraud is identified. - Further, audit engagement partner may review the need to involve specialists to address the issues relating to fraud. The Engmnt Team discussion ordinarily includes a discussion of the following matters: (Tricks: Ye log discuss karenge Ki kese "Professional skepticism" rakhe to give "response" to "Error", "Fraud", "ROMM") - Need to maintain professional skepticism throughout the audit engagement - Audit responses to ROMM; - Errors which have been identified in prior years; - Errors that may be more likely to occur; - Method by which fraud might be perpetrated by bank personnel or others within particular	

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Audit of Banks

account balances and/or disclosures.

- Need to alert for information or other **conditions that indicates**, that a **material misstatement** may have occurred (e.g., the bank's application of accounting policies in the given facts and circumstances).

[Engagement Team: All personnel performing an engagement, including any experts contracted by the firm in connection with that engagement are **known to be the "Engagement Team"**]

➤ Income Recognition Policy

- Policy of income recognition should be objective & **based on record of recovery** rather than on any subjective considerations.
- Income from nonperforming assets (**NPA**) is **not recognized on accrual basis** but is booked as income **only when it is actually received**.

➤ Form and Content of Financial Statements

Q6. FS of a bank are prepared in a specified format. Discuss legal provisions w.r.t FS of a nationalized bank. (SM)

Section 29, Sub (1) & (2):	of the Banking Regulations Act, 1949 deal with form & content of FS of a banking company → also applicable to nationalised banks, SBI, subsidiaries of SBI, and RRB.	
III Schedule of Bank Reg Act 1949:	Every banking company is required to prepare: (MCQ → 3rd Schedule)	
	Form A	Form of Balance Sheet
	Form B	Form of Profit & Loss A/c
A.S Disclosure:	Every banking company needs to comply with the disclosure requirements (Accounting Standards, u/s 133 of the Co. Act, 2013 read with Rule 7 as far apply to banks, or AS issued by ICAI)	

➤ Audit of Accounts

Audit of A/c's:	Sec 30(1) Banking Regulations Act, 1949 requires that balance sheet & P&L A/c of a banking co. should be audited by a person qualified under any law to be an auditor of Co.	
Eligibility/ Disqualification:	Eligibility/ Qualification/ Disqualification of Auditor → Applicable as to a Company Auditor (Section 141 of Co. Act 2013)	
Remuneration of Auditor:	Banking Co.	Fixed as per Sec 142 of the Co. Act, 2013. → In General Meeting
	Nationalized Banks & SBI	Fixed by the Reserve Bank of India in consultation with the Central Government .
Power of Auditor	The auditor of a banking company, nationalised bank, SBI, or RRB has the same powers as those of a company's auditor in the matter of access to the books, accounts, documents .	

➤ Appointment of Auditor

Banking Company:	annual general meeting (AGM) by Shareholders (RBI approval require)
Nationalised bank:	By Bank Board of Directors (RBI approval require)
Regional rural banks:	Appointed by the bank (CG approval require)
SBI:	By Comptroller and Auditor General of India (C&AG) in consultation with CG
Subsidiaries of SBI:	By SBI itself

➤ Auditor's Report

Nationalised bank & SBI	Q7. In the case of a nationalised bank, the auditor is required to make a report to the CG . The report of auditors of SBI is also to be made to the Central Govt and is almost identical to
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to CG: (Trick: SBI ki branches ki report bhi CG ko do)	the auditor's report to nationalised bank. Explain what auditor state in his report. <u>Answer</u> (Trick: "Branch" ke andar jo bhi "transaction" hui thi, Including "FS", "other matter"... sabka Return bhejo HO ko) - Whether or not the returns received from the offices and branches of bank have been found adequate for the purpose of his audit. - Whether or not the transactions of the company which have come to his notice have been within the powers of the company (Cannot give loan on the basis of own shares). - Whether, in his opinion, the financial statements present a true and fair view of the affairs of the bank and in case he had called for any explanation or information, whether it has been given and whether it is satisfactory. - Any other matter which he considers should be brought to notice of shareholders of company. The report of auditors of State Bank of India is also to be made to the Central Government and is almost identical to the auditor's report in the case of a nationalised bank.
Format of Report: "MUSC"	Q8. Is Bank statutory auditor required to report on to Companies (Auditor's Report) Order, 2020? <u>Answer:</u> SA's Compliance: The Audit Report issued complies with the requirements of SA's (Chp 8) Unaudited Branches: The auditor should ensure that not only information relating to number of unaudited branches is given but quantification of advances, deposits, interest income and interest expense for such unaudited branches has also been disclosed in the audit report. Matters u/s 143: The auditor of a banking company is also required to state in his report the matters covered by Section 143 of the Companies Act, 2013. CARO 2020 → not applicable to a banking company (as per Sec 5, Clause C, Banking regul act 1949)
Long Form Audit Report (LFAR):	- The terms of appointment of auditors of public sector banks, private sector and foreign banks (as well as their branches), require the auditors to also furnish a LFAR. - The matters to be included in the LFAR have been specified by the Reserve Bank of India. - Statutory Central Auditor (SCA) require to submit LFAR to Bank by 30th June every yr. - To ensure timely submission of LFAR, proper planning for completion of the LFAR is required. format of LFAR does not require an executive summary to be given, members may consider providing the same to bring out the key observations from the whole document.

➤ Reporting to RBI (Auditor responsibility & Liability for Fraud):

Q9. "If an accounting professional, whether internal or external audit finds anything **susceptible to be fraud or fraudulent activity**, he should refer the matter to regulator. Any deliberate failure on part of auditor should liable for action". **explain the RBI Circular regarding liability of accounting & auditing profession.**

Answer:

Applicability:	RBI Circular relating to implementation of recommendations of Committee on Legal Aspects of Bank Frauds applicable to all scheduled commercial banks (excluding Regional Rural Banks).
Responsibility :	<u>Regarding liability of accounting and auditing profession, the said circular provided as under:</u> "If an accounting professional, whether in the course of internal or external audit or in the process of institutional audit finds anything susceptible to be fraud or fraudulent activity or act of excess power or smell any foul play in any transaction, he should refer the matter to the regulator. Any deliberate failure on the part of the auditor should render himself liable for action". As per the above requirement, the member shall be required to report the kind of matters

	stated in the circular to RBI.				
Standards on Auditing:	Auditor should also consider the compliance with provisions of Standards on Auditing: <table border="1"> <tr> <td>SA 250:</td><td>"Consideration of L&R in an Audit of FS", explains that the <u>duty of confidentiality is over-ridden by statute</u>, law or by courts.</td></tr> <tr> <td>SA 240:</td><td>When conducting audit in accordance with SAs → responsible for obtaining reasonable assurance that the <u>FS taken as a whole are free from MMS</u>, whether caused by fraud or error according to SA 240.</td></tr> </table>	SA 250:	"Consideration of L&R in an Audit of FS", explains that the <u>duty of confidentiality is over-ridden by statute</u> , law or by courts.	SA 240:	When conducting audit in accordance with SAs → responsible for obtaining reasonable assurance that the <u>FS taken as a whole are free from MMS</u> , whether caused by fraud or error according to SA 240.
SA 250:	"Consideration of L&R in an Audit of FS", explains that the <u>duty of confidentiality is over-ridden by statute</u> , law or by courts.				
SA 240:	When conducting audit in accordance with SAs → responsible for obtaining reasonable assurance that the <u>FS taken as a whole are free from MMS</u> , whether caused by fraud or error according to SA 240.				
Co. Act:	As per section 143(12) of the Companies Act, 2013				
Evaluate system as Whole:	• Auditor is not expected to consider each & every transaction but to evaluate the system as a whole. • So, if auditor while performing normal duties comes across any instance, → should report the matter to the RBI in addition to Chairman/Managing Director/Chief Executive of bank				

➤ **Conducting an Audit:** (Maximum Portion is Read Only)

The audit of banks or their branches involves the following stages -

1) Initial consideration by the statutory auditor: <u>(Read Only)</u> <u>MCQ: Indebtness declaration is take to address "Self Interest Threat"</u>	a) <u>Obtain Indebtedness Declaration</u> : before appointing statutory central/branch auditors. b) <u>Internal Assignments by Statutory Auditors</u> : If Firm associated with internal assignment in bank in same Yr (eg. Concurrent audits), Can not undertake statutory audit c) <u>Planning: SA 300</u> , "Planning an Audit of FS" → auditor shall before start initial audit: - Performing procedures required by SA 220, "Quality Control for Audit Work" regarding the acceptance of the client relationship. - Establish understanding of engagement terms of as per SA 210 d) <u>Communication with Previous Auditor</u> : As per <u>Clause (8) of the Part I</u> of the 1 st Schedule to the CA Act, 1949, a CA in practice cannot accept position as auditor previously held by another CA without first communicating with him in writing & obtain NOC e) <u>Terms of Audit Engagements</u> : before beginning significant fieldwork, SA 210, "Terms of Audit Engagements" requires that for each period to be audited, the auditor should agree on the engmnt terms → should be <u>Documented</u> , to prevent any confusion later.. f) <u>Initial Engagements</u> : Perform audit procedure of SA 510 "Initial Audit Engagements- Opening Balances" → if after performing → auditor concludes that the opening balances contain misstatements which materially affect the FS for the current period → same is not properly accounted for & adequately disclosed → express a qualified opinion/ adverse. g) <u>Assessment of Engagement Risk</u> : Engmnt risk should be assess prior to the acceptance of an audit engagement since it affects the decision of accepting engmnt & planning engmnt. h) <u>Establish the Engagement Team</u> : Qualified & experienced professionals require to manage engmnt risk. The size and composition of the engmnt team would depend on the size, nature and complexity of the bank's operations. i) <u>Understanding Bank & its Environment</u> : SA 315 "Identifying and Assessing ROMM Through Understanding Entity & Its Environment" → auditor should obtain an understanding, including its IC, <u>to identify & assess the ROMM</u> of the FS whether due to fraud or error → to design & perform further audit procedures.
2) SA 315	Auditor shall identify & assess the ROMM → to perform Further audit procedure SA 315
3) Understanding Bank & Environment including I,C	It enables the auditor: • to <u>identify and assess risk</u>; • to <u>develop an audit plan</u> so as to determine the operating effectiveness of the controls and to address the specific risks.

4) Accounting Process:	The accounting process produces financial & operational information → by that mngt design IC → So auditor shall understand A/cing process → design & perform FAP by identify and assess the ROMM whether due to fraud or not
5) Understanding the Risk Management Process: (Trick: MICRA)	Q10. Mr. Piyush (Bank Mngr) develops controls to aid in managing key business & financial risks. Discuss various requirements for an effective risk management system in a bank. OR, Evaluate the adequacy of the bank's risk management controls ? (MTP' Jan25) <u>Answer:</u> Mngt develops controls and uses performance indicators to aid in managing key business and financial risks. An effective risk mngt system in a bank generally requires following: • Monitoring activities: Risk management models, methodologies and assumptions used to measure and mitigate risk should be regularly assessed and updated. This function may be conducted by the independent risk management unit. • Reliable information systems: Banks require reliable info. systems that provide adequate financial, operational and compliance info. on a timely and consistent basis. TCWG & Mngt require risk mngt Info that is easily understood and that enables them to assess the changing nature of the bank's risk profile. • Oversight and involvement in the control process by those charged with governance: TCWG (Board of Directors/Managing Director) should approve written risk management policies. The policies should be consistent with the bank's business objectives and strategies, capital strength, management expertise, regulatory requirements and the types and amounts of risk it regards as acceptable. • Identification, measurement and monitoring of risks: Risks that could significantly impact the achievement of bank's goals should be identified, measured and monitored against pre-approved limits and criteria. • Control activities: A bank should have appropriate controls to mitigate its risks including effective segregation of duties (particularly between front and back offices), accurate measurement and reporting of positions, verification and approval of transactions, reconciliation of positions and results, setting up limits, reporting and approval of exceptions, physical security and contingency planning.
6) Team Discussions:	Engagement team should hold discussions to gain better understanding of banks & its environment, including I.C, & to assess the potential for MMS of the FS
7) Establish the Overall Audit Strategy:	SA 300 "Planning an Audit of FS, → So engmnt Partner should Plan Audit: • establish overall audit strategy, prior to the commencement of an audit; and • Involve key engmnt team members & other specialists while establishing audit strategy
8) Audit Plan:	SA 300 → plan an audit of FS in an effective manner → Involve of key members in planning
9) Audit Planning Memorandum: (Read Only)	The auditor should summarise the audit plan by preparing an audit planning memorandum:: • Describe expected scope & extent of the audit procedures to be performed by the auditor. • Highlight all significant issues and risks identified during their planning and risk assessment activities, as well as the decisions concerning reliance on controls. • Provide evidence that they have planned the Engmnt appropriately & have responded to Engmnt risk, pervasive risks, specific risks, & other matters affecting the audit engagement.
10) Determine Materiality:	The auditor should consider the relationship between the audit materiality and audit risk. Materiality is a matter of professional judgment → depends upon the knowledge of bank,
11) Going Concern:	While obtaining an understanding of the bank, the auditor should consider whether there are events and conditions which may cast significant doubt on the bank's ability to continue as GC
12) Assess the Risk of Fraud	Q11. As Bank auditor, how you assess Risk of Fraud including Money Laundering as per SA 240 Or, Discuss importance of implementation of KYC norms by a bank as per Bank Auditor

 – Student
Specific Code

Annual Financial Inspection report of RBI relating to bank & ensure that the variations in provisions, etc. reported by RBI have been **properly considered by the bank Mngt.**

Q13. CA X is **acting as concurrent auditor** of a branch of KLT Bank (nationalized bank) for 2022-23, he has got an offer to conduct **statutory audit of 2 branches** of KLT Bank for the year 2022-23. Can he accept? (Old)

Hint: He is doing Internal Assignment → As per RBI Guideline → statutory audit assignments should not be undertaken by auditors while being associated with internal assignments in bank during the same year. → so, he should **not accept statutory audit** → even though it relates to different branches

➤ **Advances:**

- Lending is **major activity** of bank **besides the investment function.**
- Bank **core business** is **accepting deposits for onward lending.**
- Advances are amount of money or credit, given as a loan from a bank to another party with an agreement that the money will be repaid. It have at interest which is a compensation for borrowing. Advances, generally, constitute **largest item on the assets side** of balance sheet of a bank & are **major source of its income.**

Types of Advances:	Funded Loans	Q14. In case of a Bank, explain the meaning of Funded loans . Also give examples. Answer: - Funded loans are those loans where there is an actual transfer of funds from the bank to the borrower. - Example: Term loans, Cash credits, Overdrafts, Demand Loans, Bills Discounted & Purchased, Participation on Risk Sharing basis, Interest-bearing Staff Loans.	
	Non-Funded:	- are those loan which do not involve such transfer. - Examples : Letters of credit, Bank guarantees, etc.	
Advances comprise:	Advances comprise of funded amounts by way of: Trick: " bahar walo ko loan " diya .. " andar walo " ko loan diya.. taaki " Risk " manage ho gyi .. + " Bills " Term loans. Cash credits, Overdrafts, Demand Loans. - Interest-bearing Staff Loans. - Participation on Risk Sharing basis. Bills Discounted and Purchased.		
Legal requirement Disclosure in the Balance Sheet:	A) Trick: BCDT		B)
	- Bills purchased and discounted. - Cash credits, Overdrafts and loans repayable on demand. - Term Loans		- Secured by tangible assets. - Covered by Bank/Govt guarantees. Unsecured
	C) Advances in India: (BPO)		D) Advances outside India: (BOBS)
	(i) Priority sectors		(i) Due from Banks
	(ii) Public sector		(ii) Due from Others:
	(iii) Banks		a) Bills Purchased and discounted
	(iv) Others		b) Syndicated loans
		c) Others	

MCQ: Disclosure of Loans in F.S does **Not Include separate disclosure** of → "**Agricultural loans**"

Q15. C Ltd is sanctioned a **cash credit facility of Rs. 100 lacs** from a LMO Bank. Besides, it has also sanctioned a **bank guarantee of Rs.10 lacs** on behalf of the company in favour of a statutory authority. Discuss, **what type of credit facilities have been sanctioned** by LMO bank to company along **with probable purpose.**

Answer:

- Cash credit facility sanctioned by bank to company is in nature of funded credit facility. Its purpose is to meet working capital requirements of business.
- Bank guarantee sanctioned to the company is in nature of non-funded credit facility. Its probable purpose could be requirement of a guarantee by a statutory authority in exchange of company fulfilling some statutory obligations

➤ **Classification of Advance:**

➤ Sector Wise	➤ Security Wise	➤ Prudential Norms
1) Priority	1) Secured	1) Standard
2) Non-Priority	2) Unsecured	2) NPA

Sector Wise:	• RBI issues common guidelines for lending to Priority Sector which banks are required to follow. • Guidelines cover rate of interest; service charges, receipt, sanction, rejection, disbursement Register; issue of Loan Application Acknowledgement. • RBI also issues targets for banks for lending to Priority Sector. • Examples of priority sector: Agriculture, MSME, Education, Housing, etc.					
Security Wise:	Banks ask Security or Collateral while lending to assure that Borrower will return the money to bank in prescribed time else the Banks have legal authority to sell collateral to recover its money. Q16. Mr. A approach a bank for Loan. The Bank Manager, asks for security to be offered to bank. Discuss the nature of securities. <u>Answer:</u> <table><tr><td>Primary security</td><td>Refers to the security offered by the borrower for bank finance or the one against which credit has been extended by the bank. Its a principal security</td></tr><tr><td>Collateral security</td><td>is an additional security. Security can be in any form i.e. tangible or intangible asset, movable or immovable asset. Examples of most common types of securities accepted by banks are the following: ✓ Personal Security of Guarantor ✓ Goods/Stocks/Debtors/Trade Receivables ✓ Gold Ornaments and Bullion ✓ Immovable Property ✓ Plantations (For Agricultural Advances) ✓ Third Party Guarantees ✓ Banker's General Lien ✓ Life Insurance Policies ✓ Stock Exchange Securities and Other Instruments. </td></tr></table>		Primary security	Refers to the security offered by the borrower for bank finance or the one against which credit has been extended by the bank. Its a principal security	Collateral security	is an additional security . Security can be in any form i.e. tangible or intangible asset, movable or immovable asset. Examples of most common types of securities accepted by banks are the following: ✓ Personal Security of Guarantor ✓ Goods/Stocks/Debtors/Trade Receivables ✓ Gold Ornaments and Bullion ✓ Immovable Property ✓ Plantations (For Agricultural Advances) ✓ Third Party Guarantees ✓ Banker's General Lien ✓ Life Insurance Policies ✓ Stock Exchange Securities and Other Instruments.
Primary security	Refers to the security offered by the borrower for bank finance or the one against which credit has been extended by the bank. Its a principal security					
Collateral security	is an additional security . Security can be in any form i.e. tangible or intangible asset, movable or immovable asset. Examples of most common types of securities accepted by banks are the following: ✓ Personal Security of Guarantor ✓ Goods/Stocks/Debtors/Trade Receivables ✓ Gold Ornaments and Bullion ✓ Immovable Property ✓ Plantations (For Agricultural Advances) ✓ Third Party Guarantees ✓ Banker's General Lien ✓ Life Insurance Policies ✓ Stock Exchange Securities and Other Instruments.					



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Student
Specific Code

Mode of Creation of Security:

Mortgage (Immovable, Possession borrower)	Mortgages are of several kinds but the most important are below two:	
	Registered Mortgage	It's affected by a registered instrument called the ' Mortgage Deed ' signed by the mortgagor. It registers the property to the mortgagee as a security.
	Equitable mortgage	is affected by a mere delivery of title deeds or other documents of title with intent to create security thereof
Pledge	• Involves bailment or delivery of goods by the borrower to the lending bank with the intention of creating a charge thereon as security for the advance.	

(Movable, possession Lender) Qn	The legal ownership of the goods remains with pledger while the lending banker gets certain defined interests in the goods. The pledge of goods constitutes a specific (or fixed) charge (MCQ: Loan against gold/shares)
Hypothecation (Movable, Possession Borrower) Qn.	- It's creation of an equitable charge (i.e., a charge created not by an express enactment but by equity and reason), which is created in favor of the lending bank by execution of hypothecation agreement in respect of the moveable securities belonging to the borrower. Neither ownership nor possession is transferred to the bank. However, the borrower holds the physical possession of the goods as an agent/trustee of the bank. - Borrower periodically submits statements regarding Qty & value of hypothecated assets (stocks, debtors, etc.) to lending banker on the basis of which the drawing power is fixed. (Loan to purchase CAR, Goods etc)
Assignment Qn.	- Assignment represents a transfer of an existing or future debt, right or property belonging to a person in favor of another person. - Only actionable claims (i.e., claim to any debt other than a debt secured by a mortgage of immovable property or by hypothecation or pledge of moveable property) such as book debts and life insurance policies are accepted by banks as security by way of assignment. - An assignment gives the assignee absolute right over the moneys/debts assigned to him.
Set-off (same bank + same person + Same capacity) Qn	- Set-off is a statutory right of a creditor to adjust, wholly or partly, the debit balance in the debtor's account against any credit balance lying in another account of the debtor. - The right of set-off enables a bank to combine two accounts (a deposit account and a loan account) of the same person provided both the accounts are in the same name and same right (i.e., the capacity of the account holder in both the accounts should be the same). - For the purpose of set-off, all the branches of a bank are treated as one single entity. The right of set-off can be exercised in respect of time-barred debts also.
Lien	Lien is creation of a legal charge with consent of the owner, which gives lender a legal right to seize and dispose / liquidate the asset under lien .

Q17. Explain "Hypothecation", "Assignment", "Pledge" & "Set-off" (Old MTP 2022)

Hint: Refer above

➤ **Prudential norms on Income Recognition, Asset Classification and Provisioning pertaining to Advances:**

Classification of Advance as per RBI prudential norms			
Standard Loan	1) Standard Regular	2) SMA - Special Mention A/c's	
		- SMA-0 (Accounts showing stress Signals) - SMA-1 (Overdue between 31 to 60 days) - SMA-2 (Overdue between 61 to 90 days)	
NPA Loan	1) Sub-Standard	2) Doubtful (D1/D2/D3)	3) Loss

Q18. During course of audit of branch of a nationalized bank, you find that system has generated a report marking ten term loan accounts as SMA. Discuss, meaning of SMA accounts and significance of such a classification

Answer:

- Special Mention Account (SMA)** is an account which is exhibiting **signs of incipient stress resulting** in the borrower defaulting in timely servicing of debt obligations, though the account has **not yet been classified as NPA** as per the RBI guidelines

- In the given case, ten term loan accounts have been classified as SMA. It means that there are overdues in the accounts for a period of **0 to 90 days**. Since period of 90 days has not been exceeded as on the date, such accounts have **not been classified as NPA as per RBI norms**.
- Such a classification is significant as early recognition of such accounts **enables banks to initiate timely remedial actions** to prevent potential slippages of such accounts into NPAs.

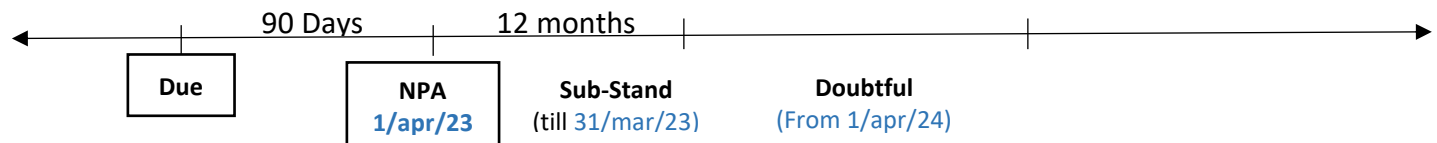
(Above Answer ends)

Non-Performing Assets (NPA)	Asset become NPA when it ceases to generate income for Bank . loan or an advance where:	
	Term Loan:	Interest and/ or installment of principal remains overdue for a period of more than 90 days in respect of a term loan ;
	Out of Order:	A/c remains 'out of order' i.e. an Overdraft/Cash Credit (OD/ CC) ;
	Bills purchased:	bill remains overdue for a period of more than 90 days in the case of bills purchased and discounted .
<u>MCQ</u> : For Credit Card O/s → check <u>MINIMUM AMOUNT DUE</u> → not fully paid within 90 days from next settlement dates		
Out of Order	Q19. Account of a borrower availing cash credit facility from branch of a bank has become "Out of order." Discuss the term "Out of order"	
	An account should be treated as 'out of order' if:-	
	• Outstanding balance is continuously in excess of the sanctioned limit/drawing power, Or • In cases where the outstanding balance in the principal operating account is less than the sanctioned limit/drawing power, but there are no credits continuously for 90 days as on the date of Balance Sheet ; Or • Credits are there but are not enough to cover the interest debited during the same period, these accounts should be treated as 'out of order'.	
	Q20. N Ltd. has been sanctioned a Cash Credit Facility by XYZ Bank Ltd. for INR 1 crore and drawing power as per the Stock Statements furnished for the last quarter is INR 80 Lakh. O/S balance in the account is INR 75 lakh. Interest charged to the account is INR 3.5 Lakh and total credit into the account for the quarter is INR 2.5 Lakh. how auditor report. <u>Hint: Refer Above Mention "Out of Order" Conditions as given Above, and below discussion</u> <u>Case Discussion:</u> • Sanctioned Limit - 1 Crore as per financial position • Drawing Limit as per stock statement - 80 lakhs • O/s Amount - 75 lakhs • Interest Charged (Debited in Books of Bank) - 3.5 Lakhs • Interest Paid (Credited in Books of Bank) - 2.5 Lakhs <u>Conclusion:</u> The account would be reported as out of order because credits in the accounts are not sufficient to cover the interest debited during the same period . <u>Author's Note for Above Qn:</u> • If O/S amt in given Qn is Greater than 80 lacs, then also it's Out of Order.. • So to find max limit for O/s → consider Lower of "Sanction limit" & "Drawing limit" (i.e., 80L)	
Overdue:	Any amount due to the bank under any credit facility is 'overdue' if it is not paid on the due date fixed by the bank .	

Q21. Bank has advanced **cash credit of Rs. 25 lacs**, Bank statement from 1st Dec 2023 to 31st Mar 24 is given in Qn (Bank O/S Limit is under 25 Lacs during whole year) → **31/12/23**: Clearing Credited: Rs. 1 Lac, From **31/01/24 to 31/03/24 Interest debited** is Rs. 99000. & No other transaction. Is it Standard asset? (MTP'24)

Answer Hint → Mention Above conditions of "Out of Order" → there are no credits continuously for 90 days as on the date of B/S. So it's → NPA, classified as "Sub-Standard Asset" (Full QN is in Additional PDF Book)

➤ Classification and Provisioning of NPA:



Q22. "There is no difference in provisioning of NPA as regards to categories of NPA, whether the debt is secured or unsecured." Critically evaluate the statement on the basis of provisioning norms of NPA of nationalised bank.

Answer:

Classification of NPA:	Based on Recovery	NPA Classification should be based on the record of recovery . Availability of security or net worth of borrower/guarantor is irrelevant for purpose of treating an advance as NPA or otherwise	
	Borrower Wise (Not Facility wise)	All facilities including investments in securities would be termed as NPA. <u>For Example:</u> Mr. Raman has two Loan facilities → <u>Car Loan & Housing Loan</u> from XYZ Bank Ltd. → He is regular in depositing the Housing loan EMI but has not deposited the last 4 EMI's of the Car Loan due to paucity of funds → In this case , not only the Car loan but the Housing Loan would also be treated as an NPA.	
Categories of NPA & Provisions:	Categories of Non-Performing Assets		Provision required
	<u>Substandard Assets:</u> which has remained NPA for period less than or equal to 12 months .		15%
	<u>Doubtful Assets:</u> which remained in substandard category for a period of 12 months .		
	<u>Sub-categories:</u>		Secured Unsecured
	Doubtful up to 1 Year (D1) →		25% 100%
	Doubtful 1 to 3 Years (D2) →		40% 100%
	Doubtful more than 3 Years (D3) →		100% 100%
	<u>Loss Assets:</u> Where loss has been identified by bank or internal or external auditors or the RBI inspection but the amount has not been written off wholly.		100%

Q23. As a auditor of Bank, CA R is appointed to check whether correct provisioning of NPA's is being made by the bank or not. What are the aspects that will be verified by CA R for this purpose?

Hint: Refer Above "categories of NPA & Provisions"

Q24. While verifying provisions of advances of MCO Bank, An advance classified as doubtful asset (D1).

The outstanding balance in above term loan account as on 31.3.2023 is ₹ 50 lakhs. Value of security held in account is ₹ 40 lakhs. The branch has made provision of ₹7.50 lakhs. Is provision made by branch proper?. (**Old**)

Answer: D1 → 25% on Secured portion, 100% on Unsecured portion, so provision shall be:

O/s Balance: Rs. 50 lacs
(-) Value of security (Rs. 40 lacs)

So, Unsecured portion = Rs. 10 lacs,

So Provision, → 25% on 40 lacs + 100% on 10 lacs = 20 lacs, hence the provision made by branch of Rs.7.5L is not appropriate.

➤ Other Points related to NPA:

Accounts regularized near B/S Date	- The asset classification of borrower accounts where a solitary or a few credits are recorded before the balance sheet should be handled with care and without scope for subjectivity. - Where the account indicates inherent weakness on the basis of the data available, the account should be deemed as NPA. - Auditor shall check sample transaction → Immediately before the closing of the Financial Year & immediately after the closing of the financial year (To know objective behind transaction → i.e., have any relation to each other in the Borrower accounts or if any/some transactions are being reversed during the first few days after closing → to prevent from slipping into NPA) Q25. FY 2023-24 → Loan of 50 Lacs → on 29/03/24: Company made payment of 10 lacs, reducing balance to 40 Lacs, → However on 04/04/24: Initiated a reversal of Rs. 8 lacs, lead to O/s balance again to Rs 48 Lacs → Auditor response for classification & any risk of NPA? (MTP25) Hint: "Refer above topic" → in given case Auditor should carefully assess the classification → if the payment and reversal transactions indicate an attempt to prevent the account from slipping into the NPA category. If yes, the account should be classified as an NPA								
Government Guaranteed advances:	Q26. NPA guideline on Government guaranteed advances <table border="1"> <tr> <td data-bbox="321 846 597 957">Central Govt Guaranteed Advance</td><td data-bbox="597 846 1523 957"> - Where guarantee is not invoked/ repudiated would be classified as Standard Assets, (No Provision) - But Follow/Regard as NPA for Income Recognition purpose </td></tr> <tr> <td data-bbox="321 957 597 1041">State Govt Guaranteed Advance</td><td data-bbox="597 957 1523 1041">advance is to be considered NPA if it remains overdue for more than 90 days for both Provisioning and Income recognition</td></tr> </table>	Central Govt Guaranteed Advance	- Where guarantee is not invoked/ repudiated would be classified as Standard Assets, (No Provision) - But Follow/Regard as NPA for Income Recognition purpose	State Govt Guaranteed Advance	advance is to be considered NPA if it remains overdue for more than 90 days for both Provisioning and Income recognition				
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Advances under Consortium:	Q27. Explain "Advances under Consortium" in the context of Prudential Norms on Income Recognition, Asset Classification and Provisioning pertaining to Advances. Hint: Refer below "Record of recovery" & "T/f share to other bank" <table border="1"> <tr> <td data-bbox="321 1167 483 1325">Meaning:</td><td data-bbox="483 1167 1523 1325">Advancing loans to a borrower by two or more Banks jointly by forming a Consortium. Joint appraisal, control & monitoring will facilitate for exchange of valuable information among the Banks. Usually, a Bank with a higher share will lead the consortium.</td></tr> <tr> <td data-bbox="321 1325 483 1556">Record of recovery</td><td data-bbox="483 1325 1523 1556"> - It should be based on the record of recovery of the respective individual member banks & other aspects having a bearing on recoverability of advances. - Where the remittances by borrower under consortium lending arrangements are pooled with one bank → and that bank is not sharing that receipt with other banks → the account should be treated as not serviced in the books of the other member banks and therefore should be NPA for other's bank. </td></tr> <tr> <td data-bbox="321 1556 483 1713">T/f share to other bank:</td><td data-bbox="483 1556 1523 1713">The banks participating in the consortium, → need to arrange to get their share of recovery transferred from the lead bank or to get an express consent from the lead bank for the transfer of their share of recovery, to ensure proper asset classification in their respective books.</td></tr> <tr> <td data-bbox="321 1713 483 1913">Drawing Power Allocation Cash Credit A/c</td><td data-bbox="483 1713 1523 1913"> Lead Bank would be responsible for drawing power (DP) calculation. (MCQ) - and allocate the same to member banks. - In certain special circumstances, at request of the Borrower, Lead Bank may allot a higher or lower share of drawing power to the member bank, as against their share of advances. </td></tr> </table>	Meaning:	Advancing loans to a borrower by two or more Banks jointly by forming a Consortium. Joint appraisal, control & monitoring will facilitate for exchange of valuable information among the Banks. Usually, a Bank with a higher share will lead the consortium.	Record of recovery	- It should be based on the record of recovery of the respective individual member banks & other aspects having a bearing on recoverability of advances. - Where the remittances by borrower under consortium lending arrangements are pooled with one bank → and that bank is not sharing that receipt with other banks → the account should be treated as not serviced in the books of the other member banks and therefore should be NPA for other's bank.	T/f share to other bank:	The banks participating in the consortium, → need to arrange to get their share of recovery transferred from the lead bank or to get an express consent from the lead bank for the transfer of their share of recovery, to ensure proper asset classification in their respective books.	Drawing Power Allocation Cash Credit A/c	Lead Bank would be responsible for drawing power (DP) calculation. (MCQ) - and allocate the same to member banks. - In certain special circumstances, at request of the Borrower, Lead Bank may allot a higher or lower share of drawing power to the member bank, as against their share of advances.
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Advances	Advances against Term Deposits, NSCs eligible for surrender, KVP/IVP and life policies								

Against Term Deposits, NSCs, KVPs/ IVPs, etc.:	Need not be treated as NPAs , provided adequate margin is available in the accounts. <i>(HS ka gyaan : If Surrender value of KVP is 5 lacs, & he defaulted 2 Lacs Loan, But still Current Selling Price of KVP i.e., Margin in 3 Lacs → then it's not NPA)</i>						
Agricultural Advances Affected by Natural Calamities:	- Master Circular issued by the RBI for classification and income recognition related to it. Banks may decide on their own relief measures, - viz., conversion of the short-term production loan into a term loan or re-schedulement of the repayment period and the sanctioning of fresh short-term loan, subject to the guidelines contained in RBI's latest Master Circular on Prudential Norms on Income Recognition, Asset Classification and provisioning pertaining to Advances. - In such cases, the NPA classification would be governed by such rescheduled terms.						
Advances to Staff: <i>Employee pays only principal for first few years → interest starts later (This is allowed), don't consider it as default of int.</i>	Q28. MTP 2023 (Old) - Advance to Staff. - Interest-bearing staff advances as Banker should be included as part of advances portfolio of bank. - In the case of housing loan or similar advances granted to staff members where interest is payable after recovery of principal, interest need not be considered as overdue from the 1st quarter onwards. - Such loans/advances should be classified as NPA only when there is a default in repayment of installment of principal or payment of interest on the respective due dates. (Not 90 days) - Staff advances by a bank as an employer and not as a banker are required to be included under the sub-head 'Others' under the schedule of Other Assets.						
Accounts where there is erosion in the value of security / frauds committed by borrowers:  - Student Specific Code	Q29. branch audit → observed major portion of advances were for agricultural purpose: (i) for accounts where there is erosion in the value of security /frauds committed by borrowers. Answer: Erosion means the gradual destruction or diminution of something . In respect of accounts where there are potential threats for recovery on account of erosion in the value of security or non-availability of security and existence of other factors such as frauds committed by borrowers, such accounts need not go through the stages of asset classification. In such cases, the asset should be straightaway classified as doubtful or loss asset: <table border="1" data-bbox="321 1270 1523 1612"> <thead> <tr> <th data-bbox="321 1270 922 1312">Erosion in Value of Security:</th><th data-bbox="930 1270 1523 1312"></th></tr> </thead> <tbody> <tr> <td data-bbox="321 1312 922 1459">Significant Erosion: realizable value of the security is less than 50% of the value assessed by the bank or accepted by RBI at the time of last inspection →</td><td data-bbox="930 1312 1523 1459"> - Such NPAs may be straight-away classified under doubtful category & doubtful assets provisioning should be made </td></tr> <tr> <td data-bbox="321 1459 922 1612">If the realizable value of the security, as assessed by the bank/ approved valuers/ RBI is less than 10% of the outstanding in the borrowal accounts →</td><td data-bbox="930 1459 1523 1612"> existence of security should be ignored & be straight-away classified as loss asset. - It may be either written off or fully provided for by the bank </td></tr> </tbody> </table> <i>(Refer Qn Bank → Numerical Also Asked for this Concept → Easy Qn)</i>	Erosion in Value of Security:		Significant Erosion: realizable value of the security is less than 50% of the value assessed by the bank or accepted by RBI at the time of last inspection →	Such NPAs may be straight-away classified under doubtful category & doubtful assets provisioning should be made	If the realizable value of the security, as assessed by the bank/ approved valuers/ RBI is less than 10% of the outstanding in the borrowal accounts →	existence of security should be ignored & be straight-away classified as loss asset. - It may be either written off or fully provided for by the bank
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If the realizable value of the security, as assessed by the bank/ approved valuers/ RBI is less than 10% of the outstanding in the borrowal accounts →	existence of security should be ignored & be straight-away classified as loss asset. - It may be either written off or fully provided for by the bank						
Agricultural Advances:	Q30. how to determine of NPA norms for agricultural advances. Answer: As per the guidelines, Agricultural Advances are of 2 types : <table border="1" data-bbox="321 1774 1523 1927"> <tbody> <tr> <td data-bbox="321 1774 548 1848">Long Duration Crops</td><td data-bbox="557 1774 1523 1848">Agricultural Advances for "long duration" crops - "long duration" crops would be crops with crop season longer than 1 year</td></tr> <tr> <td data-bbox="321 1848 548 1927">Short Duration Crops</td><td data-bbox="557 1848 1523 1927">Agricultural Advances for "short duration" crops - crops which are not "long duration" crops.</td></tr> </tbody> </table> The crop season for each crop, which means the period up to harvesting of the crops raised,	Long Duration Crops	Agricultural Advances for "long duration" crops - "long duration" crops would be crops with crop season longer than 1 year	Short Duration Crops	Agricultural Advances for "short duration" crops - crops which are not "long duration" crops.		
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Short Duration Crops	Agricultural Advances for "short duration" crops - crops which are not "long duration" crops.						

would be as determined by the State Level Bankers' Committee in each State.

The following NPA norms would apply to agricultural advances (including Crop Term Loans):

Long Duration Crops	Treated as NPA, if the instalment of principal or interest thereon remains overdue for 1 crop season
Short Duration Crops	if the instalment of principal or interest thereon remains overdue for 2 crop seasons;

Q31. Interest Income include → (i) Advance of 5L for Short term crop (installment was overdue for 1 crop season)
(ii) 7 lacs for advance equally guaranteed by Tamil Nadu Govt & Govt of India (where installment overdue >6M)
Hint: Explain relevant provision & → (i) Not NPA, So 5 Lacs is Recognised as Income (ii) Only 50% is NPA (i.e., 3.5L),
But No interest will be recognised for it

➤ Computation of Drawing Power (DP):

Meaning:	- It's an important concept for Cash Credit (CC) facility from banks and financial institutions. - DP is a limit up to which firm/company can withdraw from working capital limit sanctioned.
Different from Sanctioned Limit:	Sanctioned limit is → total exposure that a bank can take on a particular client for facilities like cash credit, overdraft, export packing credit, non-funded exposures etc. DP → is Amount calculated based on primary security less margin as on a particular date.
Considerations:	- All accounts should be kept within both the drawing power & sanctioned limit at all times. Accounts which exceed the sanctioned limit or drawing power or are against unapproved securities or otherwise irregular → brought to the notice of Mngt /Head Office regularly.
Bank's Duties:	- Banks should ensure → drawings in W.C Account are covered by adequate current asset. - Drawing power is required to be arrived at based on current stock statement. - However, considering difficulties of large borrowers, stock statements relied upon by the banks for determining DP should not be older than 3 months → if O/s Amt is based on DP calculated from stock statements older than 3 months is deemed as irregular.
Auditor's Concern:	- The stock statements, quarterly returns and other statements submitted by the borrower to the bank should be scrutinized in detail. - The audited Annual Report submitted by the borrower should be scrutinized properly. - The monthly stock statement of the month for which the audited accounts are prepared and submitted should be compared and the reasons for deviations, if any.
Computation of DP:	BOD Guideline: Ensured that DP is calculated as per the extant guidelines formulated by Board of Directors of respective bank & agreed upon by the concerned statutory auditors. Sundry Creditor should be given Special consideration for proper reporting.
Stock Audit: MCQ: Comments on "valuation of security" and "drawing power"	- Should be carried out by bank for all accounts have funded exposure of more than ₹5 crore Auditors can also advise for stock audit in other cases if the situation warrants the same. - Branches should obtain the stock audit reports from lead bank (if it's not lead bank) - The report submitted by the stock auditors → should be reviewed during the course of audit & special focus should be given to → comments made by the stock auditors on valuation of security and calculation of drawing power.

Q32. i.r.o drawing power, explain → "Bank Duties", "Auditor's concern", "Computation of DP" & "Stock Audit"

Hint: Refer above table

Q33. Explain the meaning of drawing power and how it differs from sanctioned limit? What is to be ensured while computing Drawing Power (DP)? (Old)

Hint: Refer above "Meaning", "Different from sanctioned limit", "Computation of DP"

(Answer Ends here)

Example in ICAI module for DP calculation:

A)	Stocks:	
	Stock at realizable value	1000
	(-) Unpaid Stock	
	• Sundry creditors	(300)
	• Acceptance/LC's etc	(300)
	=PAID STOCK	= 400
	(-) 25% margin:	(100)
	= Drawing Power on Stock	=300 INR
B)	Debtors:	
	Total Debtors	1000
	(-) Ineligible Debtors	(200)
	= Eligible Debtors:	800 INR
	(-) 40% Margin:	(320) INR
	= Drawing Power on Debtor	=480 INR
	TOTAL DRAWING POWER	780 INR

Q34. CA P is conducting stock audit of a borrower availing cash credit facility of Rs.100 lacs from a bank against security of paid stocks & debtors up to 90 days. Margin stipulated is 25% for stocks & 40% for debtors.

Value of Stock	Rs. 125 Lacs
Value of stocks (fully damaged) included in above	5 lacs
Value of debtors	50 lacs
Value of debtors exceeding 90 days included in above	10 lacs
Value of creditors for goods	50 lacs

Is **Drawing Power** computed by CA P for Rs. 82.50 lacs proper?

Answer:

Value of stocks as on 31.12.22	125 lacs
Less: value of damaged stocks	(5 lacs)
	= 120 lacs
Less: creditors for goods as on 31.12.22	(50 lacs)
= Value of Paid stocks	70.00 lacs
Less: Margin @ 25%	(17.50 lacs)
Drawing power (A)	52.50 lacs
Value of debtors as on 31.12.22	50 lacs
Less: debtors exceeding 90 days	(10 lacs)
	= 40 lacs
Less: Margin @ 40%	(16 lacs)
Drawing Power (B)	24 lacs
Drawing Power (A+B)	76.50 lacs

The drawing power calculated by CA P is not proper. Drawing Power comes to Rs. 76.50 lacs.

IMPORTANT NOTE: Assume, If in Above Question Sanctioned Limit is also given as Rs. 75 lacs, So Drawing power can-not exceed Sanction limit, Hence Drawing power shall be Rs. 75 lacs only (Not 76.5 lacs)

➤ Audit of Advances:

Primary concern is to Obtain Evidence about:	Q35. Auditor of two branches of OBC bank. Advise how would you proceed to obtain evidence in respect of audit of advances. (Refer Below Answer + "Obtain SAAE by" topic) OR, Q. For Advances → the auditor is primarily concerned with obtaining evidence about, among other points, the amounts included in balance sheet in respect of advances are outstanding at the date of the balance sheet. Explain. (Refer Below Answer) OR, Q. In audit of advance → statutory branch auditor would obtain evidence about certain matters. Advances generally constitute major part of the assets of bank. Large number of borrowers to whom variety of advances are granted. Audit of advance require major attention from auditors. In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following: (Trick: "Balance sheet" me jo bhi ":Amount due to Bank" dikh raha hai.. wo "poora hai", Wo check karne ke liye "supportings" dekho & "Provision" bhi bana lena non-recoverable amt ka) - Amounts included in balance sheet i.e. advances which are outstanding at the date of B/S. - Advances represent amount due to the bank. - There are no unrecorded advances. - Amounts due to the bank are appropriately supported by loan documents and other documents as applicable to the nature of advances. - The stated basis of valuation of advances is appropriate and properly applied and the recoverability of advances is recognised in their valuation. - Appropriate provisions towards advances have been made as per the RBI norms, Accounting Standards and generally accepted accounting practices. - Advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements.
Obtain SAAE by: (i.e., Other than Evaluating SAAE, which other areas auditor can evaluate to obtain SAAE) (Trick: DAS - HVCO bank)	Q36. The auditor can obtain sufficient appropriate audit evidence about advances by study and evaluation of I.C. relating to advances. Explain in the context of Audit of Banks. Answer: Auditor can obtain SAAE about advances by <u>evaluation of I.C.</u> relating to advances, <u>and by:</u> - examining loan Documentation. - carrying out appropriate analytical procedures. - examining the existence, enforceability and valuation of the security. - examining the validity of the recorded amounts. - checking compliance with RBI norms including appropriate classification and provisioning - reviewing the operation of the accounts. (Above answer Ends) In carrying out his substantive procedures: The auditor should examine all large advances. while other advances may be examined on a sampling basis. The accounts identified to be problem accounts, however, need to be examined in detail unless the amount involved is insignificant. Advances which are sanctioned during the year, or which are adversely commented by RBI inspection team, concurrent auditors, bank's internal inspection, etc. should generally be included in the auditor's review.

**Evaluate
Internal
control:**

Q37. auditor should examine the **efficacy of various I.C over advances** in case of Banks to determine NTE of his substantive procedures. Explain what is included in I.C over advances.

Answer:

auditor should examine the efficacy of various IC over advances to determine the NTE of his substantive procedures. In general, the I.C over advances should include, the following:

Loan dene k pahle:

- Bank should make advance only after satisfying the **credit worthiness of borrower** and after obtaining sanction from the appropriate authorities of the bank.
- All the **necessary documents** (e.g., agreements, demand promissory notes, letters of hypothecation, etc.) should be executed by the parties before advances are made.
- If the **securities taken are in the nature of shares, debentures, etc., the ownership of the same should be transferred in the name of the bank** and the effective control of such securities be retained as a part of documentation.
- All **securities requiring registration** should be registered in the name of the bank or otherwise accompanied by documents sufficient to give title to the bank.
- **Sufficient margin** as specified in the sanction letter should be kept against securities taken so as to cover for any decline in the value thereof. The availability of sufficient margin needs to be ensured at **regular intervals**.

Loan dene k Baad:

- The **compliance** with the **terms of sanction and end use of funds** should be ensured.
- In the case of **goods in the possession** of the bank, contents of the packages should be test checked at the time of receipt. The godowns should be **frequently inspected** by responsible officers of the branch concerned, in addition to the inspectors of the bank.
- **Drawing Power Register** should be updated **every month** to record the value of securities hypothecated. These entries should be checked by an officer.
- The accounts should be kept within **both drawing power and the sanctioned limit**.
- All the accounts which exceed the sanctioned limit or drawing power or are otherwise **irregular should be brought to the notice** of the controlling authority regularly.
- The **operation of each advance** account should be **reviewed at least once a year** and at more frequent intervals in the case of large advances.

MCQ: Auditing advances of a bank as statutory auditor, **NOT A CONCERN OF AUDITOR** → "Ensuring budgeted targets of advances given by bank management"

➤ **Audit of Revenue Items (P&L A/c):**

Profit & Loss Account:	Section 29(1) of Banking Regulation Act, 1949, requires the preparation of P&L A/c in Form B of Third Schedule to the Act or as near thereto as the circumstances admit.
Income:	The following items are included under this head: 1) Interest Earned • Interest/ Discount on Advances/ Bills. • Interest Income on Investments. • Interest on Balances with RBI and Other Inter-bank Funds. • Others: This includes any other interest/discount income not included in above heads. 2) Other Income • Commission, Exchange and Brokerage: This item comprises of the following: a) Commission on bills for collection. b) Commission/exchange on remittances and transfers, e.g. demand drafts, NEFT, RTGS, etc.

Barcode – Student
Specific Code

- c) **Commission on letters** of credit and guarantees, letter of comforts.
 - d) **Loan processing, arranger** and syndication fees.
 - e) Mobile banking fees.
 - f) Credit/Debit card fee income including annual fee income, merchant acquiring income, interchange fees, etc.
 - g) **Rent from letting out of lockers**
 - h) Commission on Government business.
 - i) Commission on other permitted agency business including consultancy
 - j) Brokerage on securities.
 - k) Fee on insurance referral.
 - l) Commission on referral of mutual fund clients.
 - m) Service/transaction banking charges including charges levied for transaction at other branches.
 - n) Income from rendering other services like custodian, demat, investment advisory, cash management and other fee based services.
- Profit on Sale of Investments.
 - Profit/Loss on Revaluation of Investments
 - Profit on sale of Land, Buildings and Other Assets:
 - Profit/Loss on Revaluation of Fixed Assets
 - Profit on exchange transactions: This includes revaluation gains/losses on forward exchange contracts & other derivative contracts, premium income/expenses on options, etc.
 - **Income earned by dividends, etc., from subsidiaries & joint ventures abroad/India.**
 - Miscellaneous income.

➤ Audit Approach and Procedures for Revenue Items:

Auditor's Concern (ICAI in Para)	Auditor is primarily concerned with obtaining reasonable assurance that the recorded income arose from transactions , • which took place during the relevant period and • pertained to bank, • there is no unrecorded income. • income is recorded at appropriate amount.
RBI's Directions (> 1% → Accrual)	Any income which Exceeds : • 1% of total income of the bank if income is reckoned on a gross basis or • 1% of net profit before taxes if the income is reckoned net of costs, Should be considered on accrual basis as per Accounting Standard 9.
Not Material (Receipt)	If any item of income is not considered to be material as per the above norms , → it may be recognized when received and the auditors need not qualify their report in that situation.
Revenue Certainty (Accrual)	Banks recognize income (such as interest, fees and commission) on accrual basis , i.e., as it is earned . It is an essential condition for accrual of income that it should not be unreasonable to expect its ultimate collection.
Revenue Uncertainty (Receipt)	Significant uncertainty regarding ultimate collection of income → not recognize income on non-performing assets until it is actually realized . If classified as NPA for 1 st time → Interest accrued & credited to the income A/c which has not been realized should be reversed or provided for. also apply to Govt guaranteed A/c's)
Advances	Interest on advances against Term Deposits, National Savings Certificates (NSCs), Indira

against Securities	Vikas Patras (IVPs), Kisan Vikas Patras (KVPs) and Life policies may be → Taken to income account on the due date, provided adequate margin is available in A/c.
Bills Purchased	In the case of bills purchased outstanding at the close of the year the discount received thereon should be properly apportioned between the 2 years. Interest (discount) component paid by Bank/Branch on rediscount of bills from other financial institutions, is not to be netted off from the discount earned on bills discounted.
Bills for Collection	In the case of bills for collection, the auditor should also examine the procedure for crediting the party on whose behalf the bill has been collected. The procedure is usually such that the customer's account is credited only after the bill has actually been collected from the drawee either by the bank itself or through its agents, etc. The commission of branch becomes due only when bill has been collected.
Renegotiations Fees (Accrual over time)	Fees and commissions earned by the banks as a result of re-negotiations or rescheduling of outstanding debts should be recognized on an accrual basis over the period of time covered by the re-negotiated or rescheduled extension of credit. Test checks the interest earned by the banks for the sample selected.

Q38. Explain the Audit Approach and Procedures regarding following points in the above context : (i) **RBI's Directions** (ii) **Materiality** (iii) **Revenue Certainty** (iv) **Revenue Uncertainty**

Hint: Refer above "RBI's Direction", "Not material", "Revenue certainty", Revenue Uncertainty

➤ Reversal of Income:

Q39. Which audit procedures should be performed to verify reversal of income in the books of branch? **OR,**
Q. When a credit facility is classified as non-performing for the first time, interest accrued and credited to the income account in the corresponding previous year which has not been realized should be reversed or provided for. This will apply to Government guaranteed accounts also. Analyse and Explain.

Answer:

- 1) If any Advance, including bills purchased and discounted, becomes **NPA** as at the close of any year,
 - ✓ Entire interest accrued and credited → to income account in the past periods, should be reversed or provided for if the same is not realised. This will apply to Government guaranteed accounts also.
- 2) i.r.o NPAs, fees, commission and similar income → that have accrued should, But uncollected:
 - Reverse it if → Cease to accrue in the current period, Or
 - Provided for with → if it's respect to past periods, if uncollected.
- 3) If banks which have wrongly recognized income in the past →
 - ✓ should reverse the interest if it was recognised as income during the current year or
 - ✓ make a provision for an equivalent amount if it was recognized as income in the previous year(s).
- 4) Auditor should also enquire if there are any large debits in the Interest Income account that have not been explained. It should be enquired whether there are any communications from borrowers pointing out differences in interest charge and whether appropriate action has been taken in this regard.

Q40. Auditor noticed that loan classified as "Sub-standard", as EMI was due for > 90 days. What is Auditor responsibility reg. verification of compliance with income recognition norms by branch i.r.o above credit facilities (RTP'24)

Hint: As per RBI guideline → Refer above Point (1) & Point (2) i.e., Interest reversal & Fees, Commission reversal

➤ Some other points on Income & NPA Income:

Leased assets:	Finance income (AS 19 - Leases) on leased asset → which was accrued & credited to income A/c before the asset became non-performing & remaining unrealised → should be reversed or provided
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	for in the current accounting period.	
On Take-out finance (Direct Qn - Sept'25)	Meaning	- A takeout loan is a method of financing whereby a loan that is procured later is used to replace the initial loan. - More specifically, a takeout loan, or takeout financing, is long-term financing that the lender promises to provide at a particular date <u>or</u> when particular criteria for completion of a project are met - Takeout loans are commonly used in property development (as long tenure loan require)
	If NPA	based on recovery, → account is classified as NPA by lender → Should not recognize income unless realised from borrower/taking-over institution
	Objective of take-Out loan	- To expand sources of Finance for infrastructure projects <u>by</u> facilitating <u>participation of new entities</u> - To address sectoral/group/entity exposure issues and asset liability in mis-match concerns of tenders - To boost the availability of longer tenor debt finance for projects
Partial Recoveries in NPAs	Q41. Discuss the appropriate accounting treatment of partial recoveries in NPAs . Also, explain the principles that banks should follow in recognising interest income from NPAs [RTP'25] In absence of clear agreement between bank & borrower for appropriation of recoveries in NPAs (towards principal or interest due), → banks are required to adopt an accounting policy & bank can exercise the right of appropriation of recoveries in uniform & consistent manner. - The appropriate policy to be followed is to: Recognise income as per AS 9 when certainty attaches to realisation → i.e., account the amount of past → which was reversed/derecognised or not recognised in the past. Interest partly/fully realised in NPAs can be <u>taken to income</u>. → However, Ensure that → interest credit in the relevant accounts are not out of fresh/additional credit facilities sanctioned to the borrowers concerned	
Memorandum Account	On an account turning NPA , banks should reverse the interest already charged and not collected by debiting P&L A/c and stop further application of interest. However, banks MAY continue to record such accrued interest in a Memorandum account in their books for control purposes. For the purpose of computing Gross Advances, interest recorded in the Memorandum account should not be taken into account.	
Income from Investments:	Interest Income on Investments	- Includes All income derived from <u>Govt securities, bonds and debentures of corporates and other investments</u> by way of interest & dividend, Except income earned by way of dividends, etc., from subsidiaries & joint ventures abroad/in India. Broken period interest paid on securities purchased and amortisation of premium on SLR investments is net off from the interest income earned on investments. (**)
	Profit on Sale of Investments	Investments are dealt in the course of banking activity and hence the net profit or loss on sale of investments is taken to P&L A/c.
	Profit/Loss on Revaluation of Investments	As per RBI guidelines → Investments are to be Re-valued at periodical intervals & depreciation or appreciation in valuation should be recognised and taken to P&L A/c.

(** in Easy Language:

- Extra Earned: Broke Period interest means Interest Earned for shorter period .. then regular period .. →
- Extra Paid: Extra Premium paid while purchasing investment ..i.e., paid higher than face value is premium .. → So.. this Extra Paid (-) extra earn.. this will be reduced from total interest income earn)

➤ Expense Audit:

Expenditure is to be shown under **3 broad heads**:

Interest Expense	Operating Expenses	Provisions and Contingencies
• Interest on Deposits. • Interest on Reserve Bank of India/Inter-Bank Borrowings. • Others.	• Payments to and Provisions for Employees. • Rent, Taxes and Lighting. • Printing and Stationery. • Advertisement and Publicity. • Depreciation on Bank's Property. • Directors' Fees, Allowances and Expenses. • Auditor's Fees and Expenses. • Legal expenses. • Postage, Telegrams, Telephones, etc. • Repairs and Maintenance. • Insurance. • Marketing Expenses. • Other Expenses.	• Provisions made in respect of the Non-performing assets. • Provisions for Taxation. • Provisions for Diminution in the value of investments. • Provisions for contingencies.

Audit Approach and Procedures:

(Mainly Interest Expenses)

Trick:

Analytical:

"Reasonableness test"

(Total Int ÷ Total Dep = 5% approx. ... whether it's looking reasonable?)

"Compare" karo

(wghtd vs actual vs PY vs month)

TOD Samples:

Saari deposit pe ..savings / inter-branch .. sabse shi rate lagai

Q42. audit of interest expense → auditor is concerned with assessing **reasonableness of the amount of interest expense**. explain **audit approach & procedure i.r.t interest expense**.

Answer:

- **Assess Reasonableness of Interest Expense by Analyzing Ratios:** In carrying out an audit of interest expense, the auditor is primarily concerned with assessing the overall reasonableness of the amount of interest expense **by analyzing ratios of interest paid on different types of deposits and borrowings to the average quantum** of the respective liabilities during the year. In modern day banking, the entries for interest expenses are automatically generated through a batch process in the **CBS** system.
- **Compare Weighted Average Vs Actual Average Interest Rate:** Auditor should obtain from the bank an **analysis** of various types of **deposits outstanding at the end of each quarter**. From such information, the auditor may **work out a weighted average interest rate**. The auditor may then **compare this rate with the actual average rate** of interest paid on the relevant deposits as per the annual accounts and enquire into the difference, if material.
- **Compare Actual Average Interest Expense with Previous Year:** The auditor should also compare the average rate of interest paid on the relevant deposits with the corresponding figures for the previous years and analyse any material differences.
- **Month on Month/ Qtr on Qtr Comparison of Interest Cost Analysis:** The auditor should obtain general **ledger break-up** for the **interest expense** incurred on deposits (**savings and term deposits**) and borrowing each month/quarter. The auditor should analyse month on month (or quarter on quarter) cost analysis and document the reasons for the variances as per the benchmark stated. He should examine whether the interest expense considered in the cost analysis agrees with the general ledger.
- **Check process on sample basis:** The auditor should understand the process of computation of the average balance and re-compute the same on sample basis.
- **Test of Details on Sampling Basis:** The auditor should, on a **test check basis**, verify the calculation of interest and ensure that:
 - a. **Interest provided on all deposits** upto the date of the balance sheet;
 - b. **Interests on savings A/c are in accordance** with rules framed by the **bank/RBI**.
 - c. **Interest on inter-branch balances** → at the rates prescribed by the **head office/RBI**.

	d. Interest rates are in accordance with the <u>bank's internal regulations, the RBI directives and agreements with the respective deposit holder.</u> The auditor should: <u>(ICAI has given in Paragraph)</u> → Ascertain whether any changes in interest rate on saving A/c & term deposits during period. → Obtain the interest rate card for various types of deposits and analyse the interest cost for the period accordingly. → Examine the completeness that interest has been accrued on the entire borrowing portfolio and the same should agree with the general ledgers. → re-compute the interest accrual i.e., by referring to the parameters like frequency of payment of interest amount, rate of interest, period elapsed till the date of balance sheet, etc. from the term sheet, deal ticket, agreements, etc. and ensure that the recomputed amount is tallying with the amount as per books of accounts without any significant difference.
Audit of Operating Expenses <u>(Trick:</u> • TOC • Substantive ✓ SAP (Trend) ✓ Vouching	Q43. Explain the audit approach you would follow to check the Operating Expenses of a Bank. <u>Answer:</u> Auditing the Operating Expenses of a Bank:- Divergent Trends: The auditor should examine whether there are any divergent trends in respect of major items of expenses. Vouching & Verification: The auditor should also verify expenses with reference to supporting documents and check the calculations wherever required. Internal Controls: The auditor should study and evaluate the system of internal control relating to expenses, including authorization procedures in order to determine the nature, timing and extent of his other audit procedures. Substantive analytical Procedures: The auditor should perform substantive analytical procedures for these expenses. E.g. assess the reasonableness of expenses by working out their ratio to total operating expenses and comparing it with the corresponding figures for previous years.
Audit of Provisions & Contingencies: <u>(Trick: "RBI" bolta hai .. use loan ko "Classify" karke unpe "provision" banao... baaki remaining "tax" & "other provision" bhi dkh Ina)</u>	Q44. Discuss outline of audit approach including audit procedures while auditing "provisions and contingencies" in financial statements of a bank. (Old & Sept'24) <u>Answer:</u> - The auditor should ensure compliances for various <u>regulatory requirements</u> for provisioning as contained in the various circulars have been fulfilled. - It will primarily include checking the basis of classification of loans and receivables into <u>standard, sub-standard, doubtful, loss and non-performing assets</u>. The auditor may verify the loan classification on a sample basis. - The auditor should obtain the detailed break up of <u>standard loans, non-performing loans</u> and agree the outstanding balances with the general ledger. - The auditor should obtain an understanding as to how bank computes provision on <u>standard assets and non-performing assets.</u> - The auditor should obtain the tax provision computation from the bank's management and verify the nature of items debited and credited to profit and loss account to ascertain that the same are appropriately considered in the tax provision computation. Other provisions for expenses should be <u>examined vis-a-vis the circumstances warranting</u> the provisioning & adequacy of same by discussing & obtaining explanations from the bank's mngt.
Disclosure of the Prior Period	Since the format of the P&L A/c of Form B under Third Schedule to the Banking Regulation Act, 1949 → does Not specifically provide for disclosure of the impact of prior period items

Items on the current year's P&L, such disclosures, wherever warranted, may be given.

Q45. You are verifying interest on deposits paid by branch of a nationalized bank. Discuss, any two "analytical procedures", to verify interest on deposits paid by branch.

Hint: Refer above topic "Audit Approach and Procedures" → refer 2 points : "Compare Weighted Average Vs Actual Average Interest Rate" & "Compare Actual Average Interest Expense with Previous Year"

➤ **Other Integrated QN:**

Q46. Describe the Blanks Terms in "Column B" (MTP'24)

Column A (Question)	Column B (ANSWER)
Audit of borrower client of bank carried out at bank's request to verify borrower's current assets	Stock audit
Limit up to which an entity can withdraw from sanctioned working capital limit	Drawing power
Statutory right of a creditor to adjust debit balance in debtor's account against any credit balance lying in another account of debtor	Set-off
Creation of security in a bank branch by mere delivery of title deeds by a prospective borrower of funds	Equitable Mortgage

MCQ: Fraud of Rs. 2.5 crore at Bank → Informed to BOD, but not explanation received from them → "Forward his Report with a Note to the Central Govt. stating the non-receipt of any observations from the BOD"



THANK YOU